# TOGETHER , WE RISE

## Finance Focus: State School Fund

Presented to the Portland Public School Board of Directors
August 5, 2025

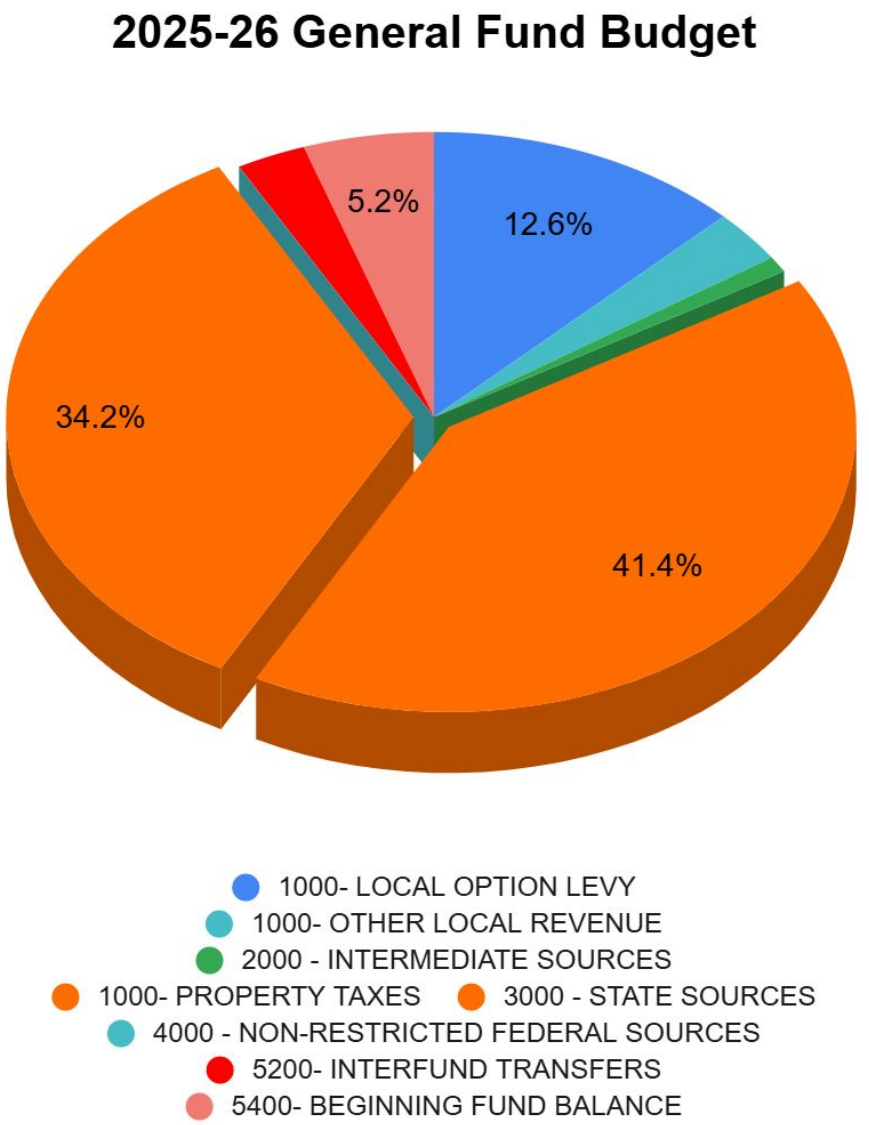
# Agenda

- Review of **Operating Revenue Sources (Fund 100)**
- Review **State School Fund Distribution Formula**
- Identify **Student Weights and Budget Impact**
- **Discussion**

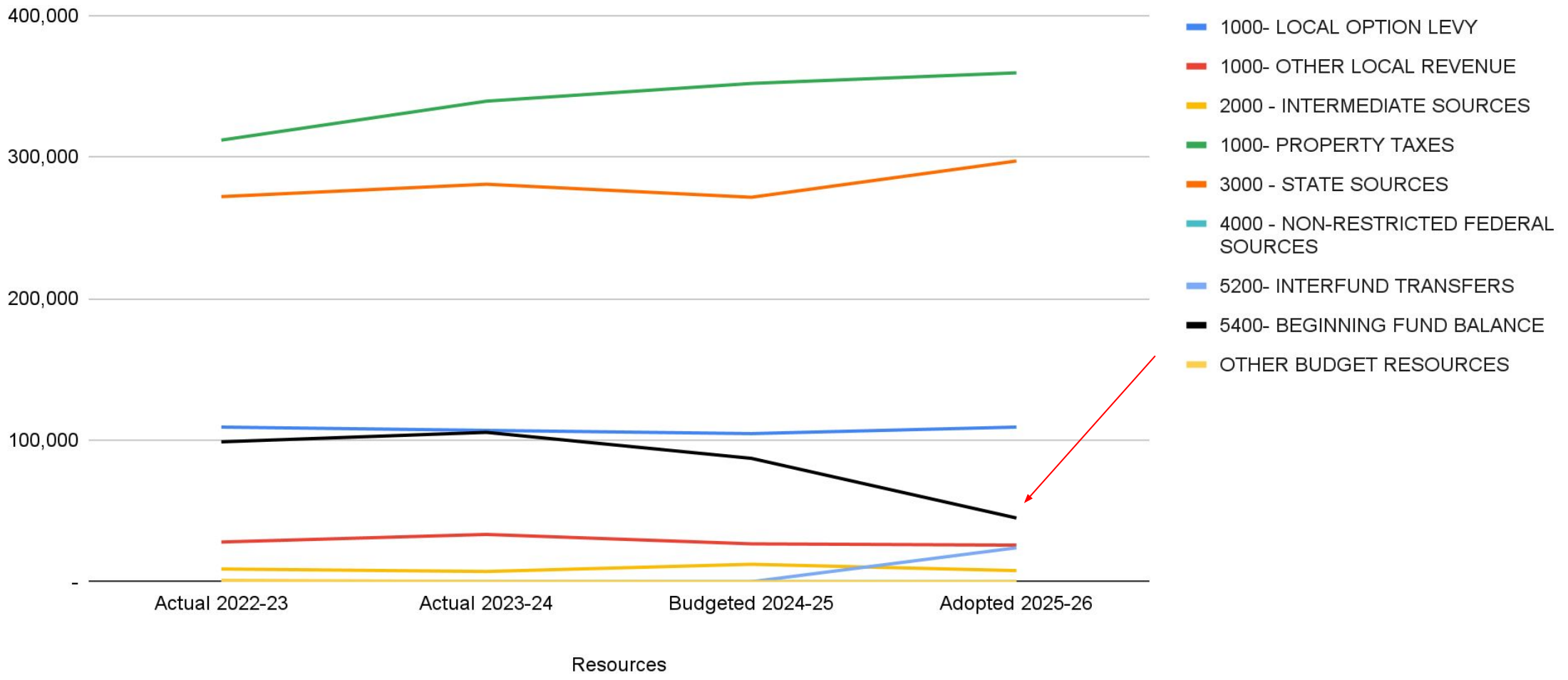
# Operating Revenue Sources

# Fund 100 Sources by Object

- **1000s: Local Revenue**
  - Property Taxes including GAP and Local Option Lev
  - Interest Earnings, Rentals, and Other Revenue
- **2000s: Intermediate Sources**
- **3000s: State Sources**
  - State School Fund
  - Common School Funds
- **4000s: Federal Sources**
- **5000s: Fund Balance, Transfers**

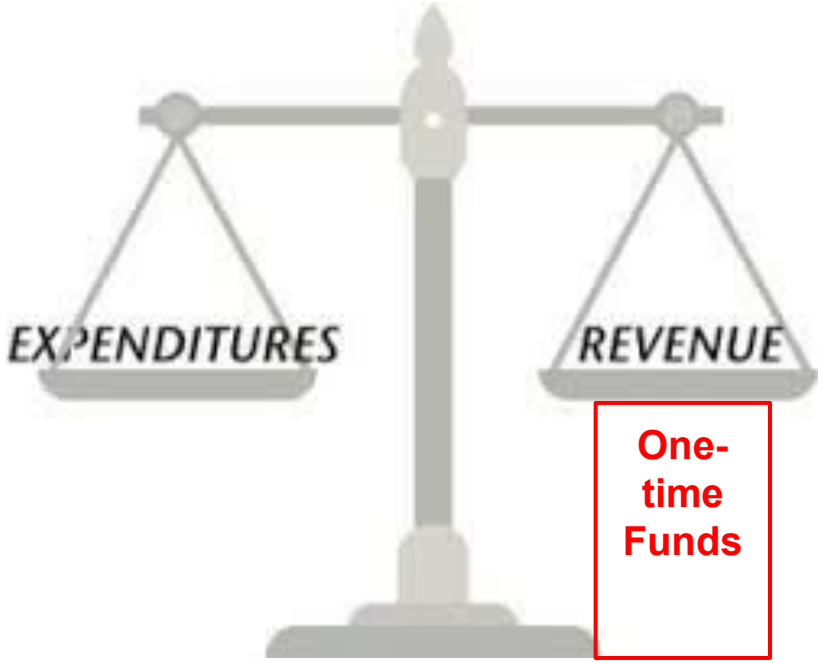


# Historical Trends



# Notes on Current State

- **1000s: Local Revenue**
  - Property Taxes show steady growth over time
- **2000s: Intermediate Sources**
  - Steady but not a large portion of the budget
- **3000s: State Sources**
  - State School Fund growth at $11.36 biennial projection
  - Directly impacted by student enrollment and weighting
- **5000s: Fund Balance, Transfers**
  - **Fund Balance Decline**
  - **Use of Reserves (Transfers)**




*Even with significant budget reductions, the use of fund balance and one-time funds was necessary to balance the 2025-26 Budget.*

# The State School Fund Distribution Formula

# Three Distinct Property Tax Eras

**Pre-Measure 5**

- Purely levy based system until 1991-92
- Taxing district rates combined
- Real market value (no separate definition for Assessed Value)
- Limited to 6% increase per District unless voter approved

**Measure 5**

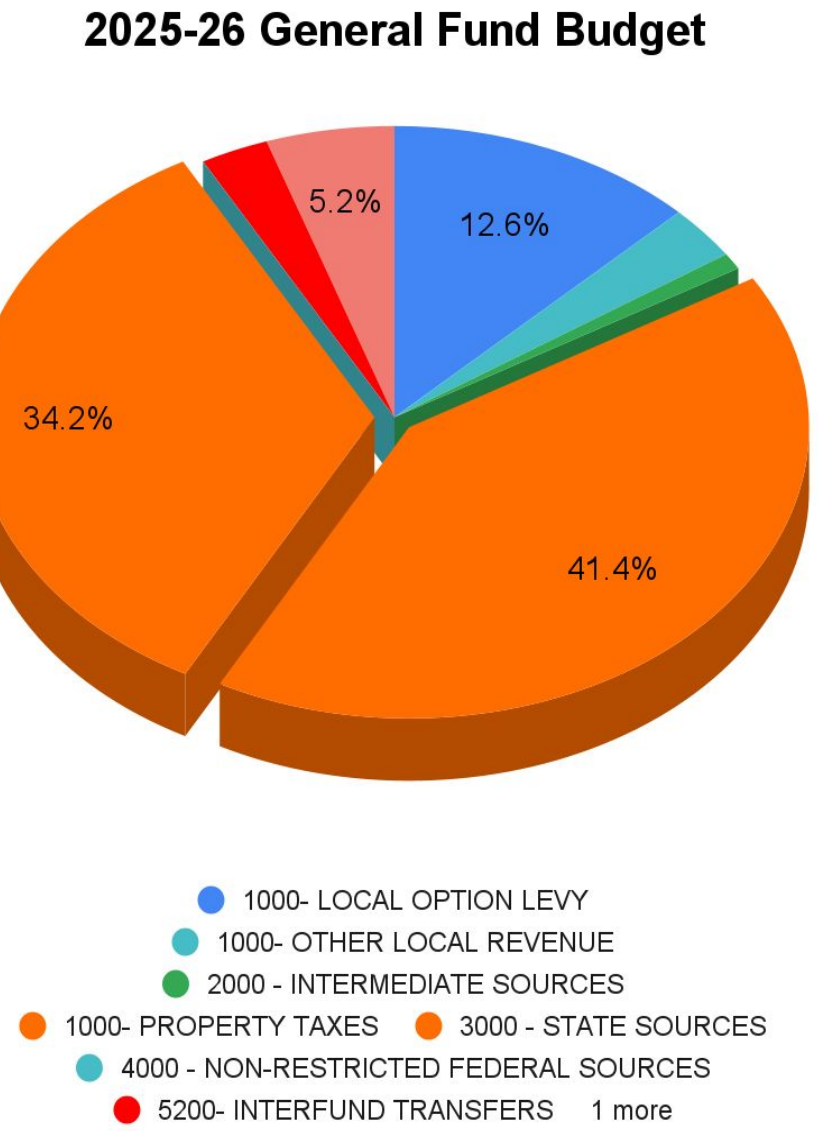
- Introduced limits of $5 (school) and $10 (other government) per $1,000 of assessed value for individual properties
- Hybrid levy/rate-based system
- Reduction in taxes due because of limits is known as “compression”

**Measure 50**

- 1997 (repealed Measure 47)
- Purpose to reduce taxes in 1997-98 and control future growth
- Reduce/cap Assessed Values
- Switch to permanent tax rate limits

# State School Fund Resources

- Local Property Taxes (excluding Local Option Levy)
- State General Fund and Lottery proceeds
- Appropriated biennially by the State Legislature
- Distributed to Districts using the Equalization Formula
- 75.6% of the General Fund revenue



# State School Fund Equalization Formula

➔ **ORS 327.008 – State School Fund**

All districts in Oregon submitted estimates for local revenue, student enrollment, demographics and transportation costs are submitted to the Oregon Department of Education for the 2025-26 year in December. The Department issues periodic estimates based on this information and as actual data becomes available.

| | | | 2025-2026 |
|---|---|---|---|
| ADMr: | 42,281.20 | X 1.00 | 42,281.20 |
| Students in EL programs: | 4,137.90 | X 0.50 | 2,068.95 |
| Students in Pregnant and Parenting Programs: | 33.90 | X 1.00 | 33.90 |
| 7624 IEP Students capped at 11% of District ADMr: | 4,650.93 | X 1.00 | 4,650.93 |
| Students on IEP Above 11% of ADMr: | 1,266.90 | X 1.00 | 1,266.90 |
| Students in Poverty: | 3,822.35 | X 0.25 | 955.59 |
| Students in Foster Care and Neglected/Delinquent: | 167.00 | X 0.25 | 41.75 |
| Remote Elementary School Correction: | 0.00 | X 1.00 | 0.00 |
| Small High School Correction: | 0.00 | X 1.00 | 0.00 |
| Post Graduate Scholars: | 0.00 | X-0.25 | 0.00 |
| | | **2025-2026 ADMw** | **51,299.22** |

# Rationale

## ➔ This is a Revenue Formula, NOT Expenditure

- Assumes districts with remote locations may have additional baseline needs not covered with the distribution
- Assumes that districts will serve students with exceptional learning situations and that those services may increase costs

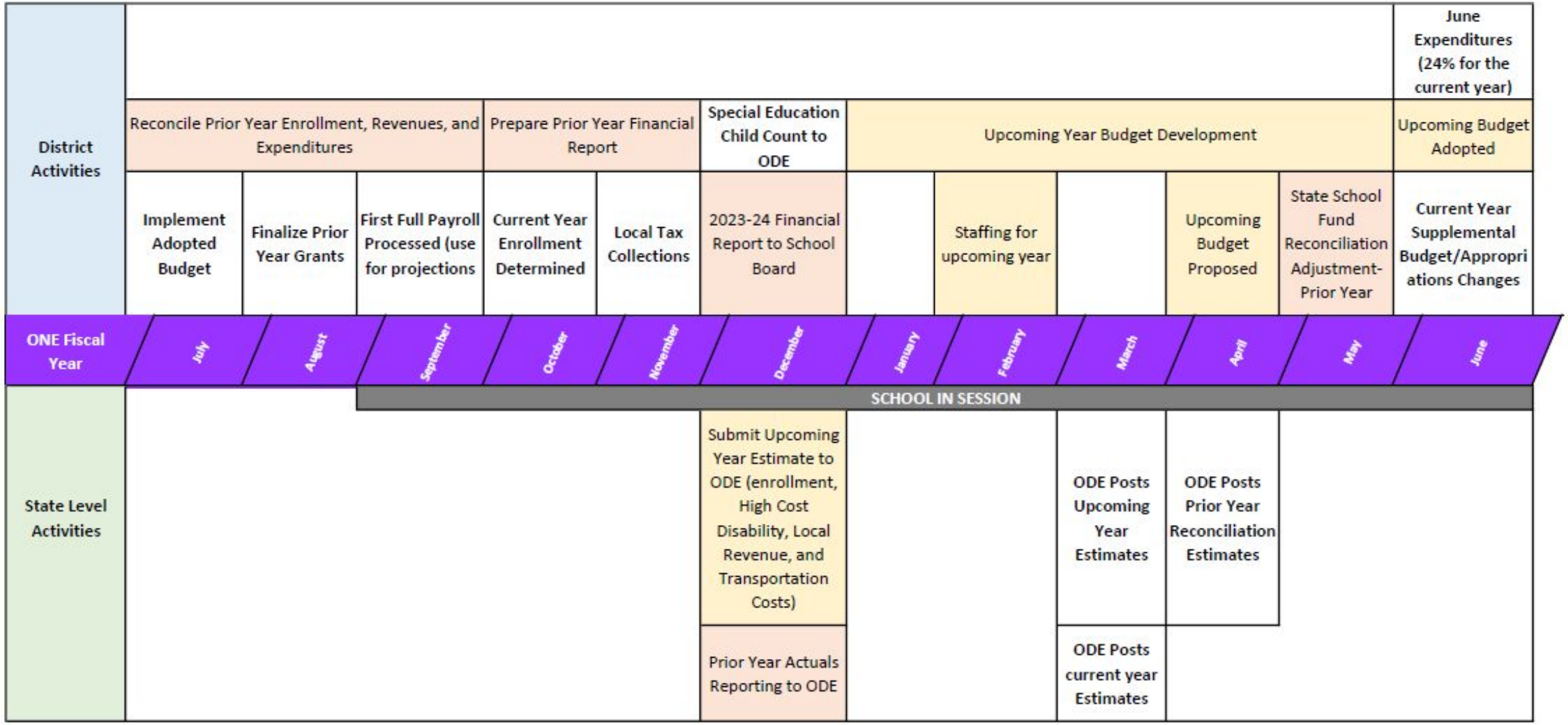
## ➔ Teacher Experience

- Calculations to increase or decrease distribution based on average teacher experience of the District compared to the state average

## ➔ Student Transportation

- As transportation is a requirement of public schools, the state offers a Transportation Grant to reimburse specific costs related to this service up to 70%

# Fiscal Year Financial Cycle



# Budget Process

## BUDGET BUILDING
***April - June (3)***
Propose Budget
CBRC Report
Approve Budget
Public Comment & Hearing
TSCC Certify Budget
Adopt Budget

## FISCAL NEW YEAR
***July - September***
Implement & Monitor Budget
Close & Audit Prior Year



## BUDGET PLANNING
***January - March (2)***
Budget Worksessions
Conduct Budget Outreach
Finalize Priorities
Implement Workforce Plan

## BUDGET AWARENESS
***October - December (1)***
Adopt Budget Calendar
Forecast Enrollment & Finances
Conduct Needs Assessment
Engage with Communities

# Student Weights and Budget Impact

# Student Weighting

➔ [ORS 327.008 – State School Fund - OregonLaws - Public.Law]

Based on the current Estimate from the Department of Education, the current amount of "Total Formula Revenue" for each student (Average Daily Membership, resident, ADMr) is $11,812.

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# Extended ADMw (Average Daily Membership, weighted)

- ➔ **Designed to support Districts with declining enrollment**
- ➔ **Extends the highest amount of student weights over the current and prior year**
- ➔ **Catches up!**
- ➔ **Gives time to adjust staffing levels as student enrollment decreases**
  - ◆ Recover from temporary enrollment dip
  - ◆ Use of one-time funds
  - ◆ Contract Negotiations
  - ◆ School Optimization



# Questions & Discussion